Coca-Cola CONSOLIDATED

# PURPOSE PEOPLE PORTFOLIO

ANNUAL REPORT 2023

**Item 8. Financial Statements and Supplementary Data.**

## COCA-COLA CONSOLIDATED, INC.
## CONSOLIDATED STATEMENTS OF OPERATIONS

| | Fiscal Year | | |
|---|---|---|---|
| *(in thousands, except per share data)* | **2023** | **2022** | **2021** |
| Net sales | $ 6,653,858 | $ 6,200,957 | $ 5,562,714 |
| Cost of sales | 4,055,147 | 3,923,003 | 3,608,527 |
| Gross profit | 2,598,711 | 2,277,954 | 1,954,187 |
| Selling, delivery and administrative expenses | 1,764,260 | 1,636,907 | 1,515,016 |
| Income from operations | 834,451 | 641,047 | 439,171 |
| Interest (income) expense, net | (918) | 24,792 | 33,449 |
| Mark-to-market on acquisition related contingent consideration | 159,354 | 32,301 | 146,308 |
| Pension plan settlement expense | 112,796 | — | — |
| Other expense, net | 5,738 | 8,867 | 4,265 |
| Income before taxes | 557,481 | 575,087 | 255,149 |
| Income tax expense | 149,106 | 144,929 | 65,569 |
| **Net income** | **$ 408,375** | **$ 430,158** | **$ 189,580** |
| | | | |
| **Basic net income per share:** | | | |
| Common Stock | $ 43.56 | $ 45.88 | $ 20.23 |
| Weighted average number of Common Stock shares outstanding | 8,369 | 8,117 | 7,141 |
| | | | |
| Class B Common Stock | $ 43.56 | $ 45.93 | $ 20.23 |
| Weighted average number of Class B Common Stock shares outstanding | 1,005 | 1,257 | 2,232 |
| | | | |
| **Diluted net income per share:** | | | |
| Common Stock | $ 43.48 | $ 45.74 | $ 20.17 |
| Weighted average number of Common Stock shares outstanding – assuming dilution | 9,392 | 9,405 | 9,400 |
| | | | |
| Class B Common Stock | $ 43.40 | $ 45.76 | $ 20.16 |
| Weighted average number of Class B Common Stock shares outstanding – assuming dilution | 1,023 | 1,288 | 2,259 |

See accompanying notes to consolidated financial statements.

**COCA-COLA CONSOLIDATED, INC.**
**CONSOLIDATED BALANCE SHEETS**

| *(in thousands, except share data)* | December 31, 2023 | December 31, 2022 |
|---|---|---|
| **ASSETS** | | |
| **Current Assets:** | | |
| Cash and cash equivalents | $ 635,269 | $ 197,648 |
| Accounts receivable, trade | 555,933 | 532,047 |
| Allowance for doubtful accounts | (16,060) | (16,119) |
| Accounts receivable from The Coca-Cola Company | 51,936 | 35,786 |
| Accounts receivable, other | 67,533 | 54,631 |
| Inventories | 321,932 | 347,545 |
| Prepaid expenses and other current assets | 88,585 | 94,263 |
| **Total current assets** | **1,705,128** | **1,245,801** |
| Property, plant and equipment, net | 1,320,563 | 1,183,730 |
| Right-of-use assets - operating leases | 122,708 | 140,588 |
| Leased property under financing leases, net | 4,785 | 6,431 |
| Other assets | 145,213 | 115,892 |
| Goodwill | 165,903 | 165,903 |
| Distribution agreements, net | 817,143 | 842,035 |
| Customer lists, net | 7,499 | 9,165 |
| **Total assets** | **$ 4,288,942** | **$ 3,709,545** |
| | | |
| **LIABILITIES AND EQUITY** | | |
| **Current Liabilities:** | | |
| Current portion of obligations under operating leases | $ 26,194 | $ 27,635 |
| Current portion of obligations under financing leases | 2,487 | 2,303 |
| Accounts payable, trade | 383,562 | 351,729 |
| Accounts payable to The Coca-Cola Company | 139,499 | 162,783 |
| Other accrued liabilities | 237,994 | 200,977 |
| Accrued compensation | 146,932 | 126,921 |
| Dividends payable | 154,666 | 32,808 |
| **Total current liabilities** | **1,091,334** | **905,156** |
| Deferred income taxes | 128,435 | 150,222 |
| Pension and postretirement benefit obligations | 60,614 | 60,323 |
| Other liabilities | 866,499 | 753,357 |
| Noncurrent portion of obligations under operating leases | 102,271 | 118,763 |
| Noncurrent portion of obligations under financing leases | 5,032 | 7,519 |
| Long-term debt | 599,159 | 598,817 |
| **Total liabilities** | **2,853,344** | **2,594,157** |
| Commitments and Contingencies | | |
| **Equity:** | | |
| Convertible Preferred Stock, $100.00 par value: authorized - 50,000 shares; issued - none | — | — |
| Nonconvertible Preferred Stock, $100.00 par value: authorized - 50,000 shares; issued - none | — | — |
| Preferred Stock, $0.01 par value: authorized - 20,000,000 shares; issued - none | — | — |
| Common Stock, $1.00 par value: authorized - 30,000,000 shares; issued - 11,431,367 shares | 11,431 | 11,431 |
| Class B Common Stock, $1.00 par value: authorized - 10,000,000 shares; issued - 1,632,810 shares | 1,633 | 1,633 |
| Class C Common Stock, $1.00 par value: authorized - 20,000,000 shares; issued - none | — | — |
| Additional paid in capital | 135,953 | 135,953 |
| Retained earnings | 1,352,111 | 1,112,462 |
| Accumulated other comprehensive loss | (4,276) | (84,837) |
| Treasury stock, at cost: Common Stock - 3,062,374 shares | (60,845) | (60,845) |
| Treasury stock, at cost: Class B Common Stock - 628,114 shares | (409) | (409) |
| **Total equity** | **1,435,598** | **1,115,388** |
| **Total liabilities and equity** | **$ 4,288,942** | **$ 3,709,545** |

See accompanying notes to consolidated financial statements.

## 1. Description of Business and Summary of Critical Accounting Policies

### Description of Business

Coca-Cola Consolidated, Inc. (the "Company") distributes, markets and manufactures nonalcoholic beverages, primarily products of The Coca-Cola Company, and is the largest Coca-Cola bottler in the United States. Approximately 85% of the Company's total bottle/can sales volume to retail customers consists of products of The Coca-Cola Company, which include some of the most recognized and popular beverage brands in the world. The Company also distributes products for several other beverage companies, including Keurig Dr Pepper Inc. and Monster Energy Company.

The Company offers a range of nonalcoholic beverage products and flavors, including both sparkling and still beverages, designed to meet the demands of its consumers. Sparkling beverages are carbonated beverages and the Company's principal sparkling beverage is Coca-Cola. Still beverages include energy products and noncarbonated beverages such as bottled water, ready to drink tea, ready to drink coffee, enhanced water, juices and sports drinks.

The Company's products are sold and distributed in the United States through various channels, which include selling directly to customers, including grocery stores, mass merchandise stores, club stores, convenience stores and drug stores, selling to on-premise locations, where products are typically consumed immediately, such as restaurants, schools, amusement parks and recreational facilities, and selling through other channels such as vending machine outlets.

The Company manages its business on the basis of three operating segments. Nonalcoholic Beverages represents the vast majority of the Company's consolidated net sales and income from operations. The additional two operating segments do not meet the quantitative thresholds for separate reporting, either individually or in the aggregate, and, therefore, have been combined into "All Other."

### Principles of Consolidation

The consolidated financial statements include the accounts and the consolidated operations of the Company and its majority-owned subsidiaries. All significant intercompany accounts and transactions have been eliminated.

### Use of Estimates

The preparation of consolidated financial statements, in conformity with accounting principles generally accepted in the United States ("GAAP"), requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and the disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

### Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, cash in banks and cash equivalents, which are highly liquid money market funds and debt instruments with maturities of 90 days or less. The Company maintains cash deposits with major banks, which may exceed federally insured limits. The Company periodically assesses the financial condition of the institutions and believes the risk of any loss is minimal. Investments in debt securities with maturities of 90 days or less that the Company has the positive intent and ability to hold to maturity are carried at amortized cost and classified as held-to-maturity. Investments in debt securities that are not classified as held-to-maturity are carried at fair value and classified as either trading or available-for-sale.

### Accounts Receivable, Trade

The Company sells its products and extends credit, generally without requiring collateral, based on an ongoing evaluation of the customer's business prospects and financial condition. The Company evaluates the collectability of its trade accounts receivable based on a number of factors, including the Company's historic collections pattern and changes to a specific customer's ability to meet its financial obligations. The Company typically collects payment from customers within 30 days from the date of sale.

### Allowance for Doubtful Accounts

The Company has established an allowance for doubtful accounts to adjust the recorded receivable to the estimated amount the Company believes will ultimately be collected.

**Schedule II**

**COCA-COLA CONSOLIDATED, INC.**
**VALUATION AND QUALIFYING ACCOUNTS AND RESERVES**

**Allowance for Doubtful Accounts**

| | Fiscal Year | | |
|---|---|---|---|
| *(in thousands)* | **2023** | **2022** | **2021** |
| **Beginning balance - allowance for doubtful accounts** | **$ 16,119** | **$ 17,336** | **$ 21,620** |
| Additions charged to expenses and as a reduction to net sales | 4,139 | 4,326 | 4,088 |
| Deductions | (4,198) | (5,543) | (8,372) |
| **Ending balance - allowance for doubtful accounts** | **$ 16,060** | **$ 16,119** | **$ 17,336** |